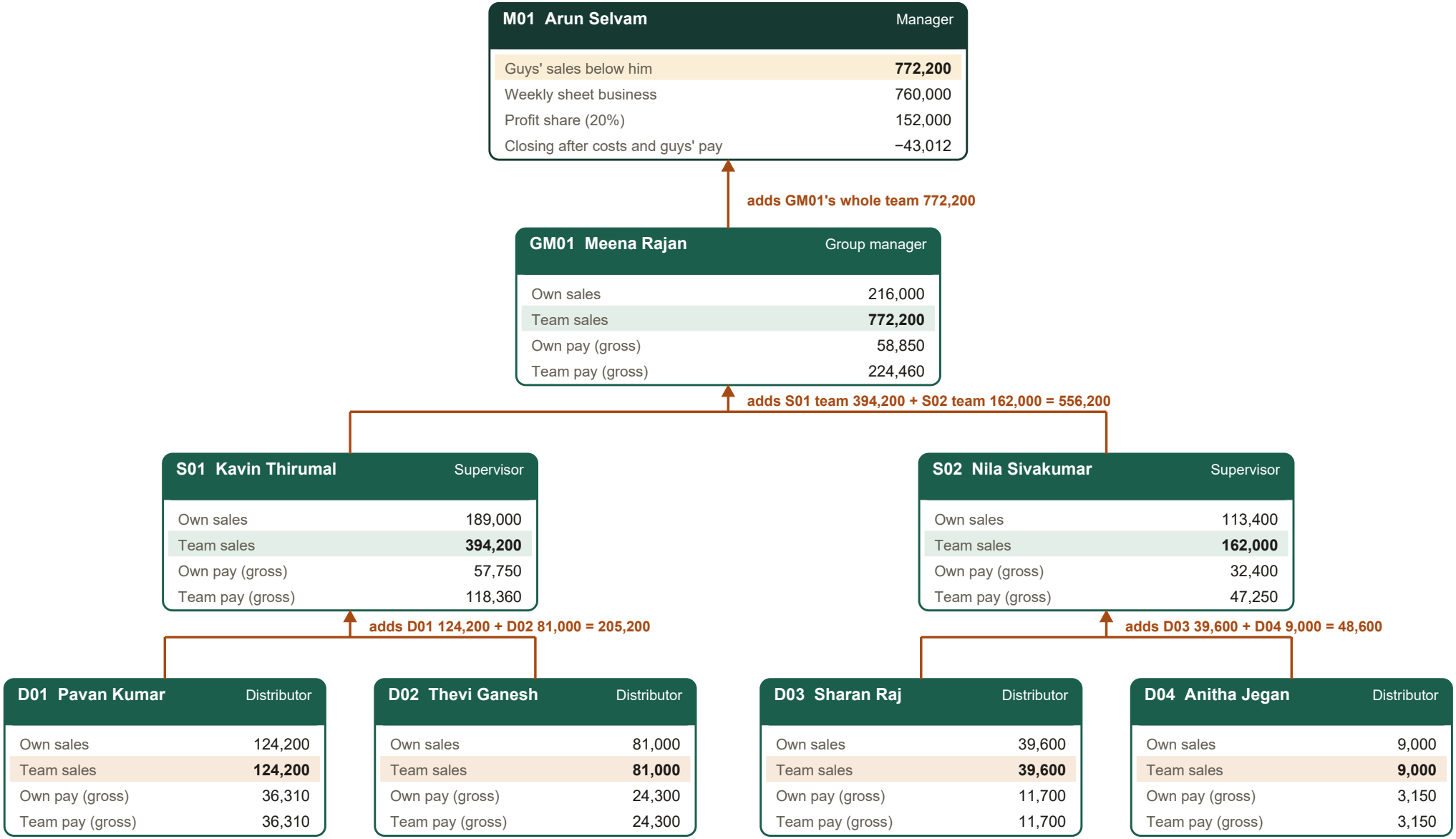
How sales and pay add up the chain

Each box shows one person's own sales and pay. **Team** figures add the person's own number to everyone below them. Follow the arrows up: the total of the people below is added to the level above. Pages 3 to 5 show exactly how every number is worked out.



All figures are Rs, from the trial run of one manager and seven people.

The numbers, level by level

Level	Person	Own sales	+ added from below	= Team sales	Own pay (gross)	+ added from below	= Team pay (gross)	Own net pay
Distributor	D01 Pavan Kumar	124,200	–	124,200	36,310	–	36,310	25,132
Distributor	D02 Thevi Ganesh	81,000	–	81,000	24,300	–	24,300	14,460
Distributor	D03 Sharan Raj	39,600	–	39,600	11,700	–	11,700	−6,864
Distributor	D04 Anitha Jegan	9,000	–	9,000	3,150	–	3,150	2,340
Supervisor	**S01 Kavin Thirumal**	**189,000**	**205,200 (D01 + D02)**	**394,200**	**57,750**	**60,610**	**118,360**	**40,740**
Supervisor	**S02 Nila Sivakumar**	**113,400**	**48,600 (D03 + D04)**	**162,000**	**32,400**	**14,850**	**47,250**	**22,194**
Group manager	**GM01 Meena Rajan**	**216,000**	**556,200 (S01 + S02 teams)**	**772,200**	**58,850**	**165,610**	**224,460**	**39,410**
Manager	**M01 Arun Selvam**	**0 (does not sell)**	**772,200 (GM01 team)**	**772,200**	**152,000 profit share**	**–**	**–**	**−43,012 closing**

What the system does today. Each person is paid from their **own** sales only. Nothing is added to a supervisor's or group manager's pay from the people below. The chain is used one way: the manager is charged the net pay of everyone below, **137,412** (39,410 + 40,740 + 22,194 + 25,132 + 14,460 − 6,864 + 2,340), and that is why Arun closes at −43,012.

A check worth adding. Arun's weekly sheets total **760,000**, but his people's daily sheets total **772,200**, a difference of 12,200. They are typed separately, as they were in Excel, and the system does not compare them. A warning when they differ by more than a small amount would catch a missed entry.

How a level could earn from the sales below it

Level	Example rate	If it counts everyone below	If it counts only direct reports
S01 Kavin	5% of sales below	205,200 x 5% = 10,260	10,260 (D01 and D02 are direct)
S02 Nila	5% of sales below	48,600 x 5% = 2,430	2,430
GM01 Meena	3% of sales below	556,200 x 3% = 16,686	S01 + S02 own sales 302,400 x 3% = 9,072
M01 Arun	2% of sales below	772,200 x 2% = 15,444	GM01 own sales 216,000 x 2% = 4,320

Example only. The rates above are placeholders to show how the totals flow. The owner has not confirmed any rate, and the system does not calculate team earnings yet. A third way the owner may mean: each level earns the *difference* between its own rate and the rate of the level below, for example 30% for a supervisor against 25% for a distributor, so 5% of the distributor's sales. Questions 2.1 to 2.7 in the owner questionnaire ask exactly which of these is correct.

All figures are Rs, from the trial run of one manager and seven people.

Page 3. How each person's own pay is worked out

Read each column from top to bottom. The same steps are used for everyone: work out the sales, compare them with the target to pick the rule, add up the earnings, take off the deductions, and what is left is the net pay.

Step	D01 Pavan	D02 Thevi	D03 Sharan	D04 Anitha	S01 Kavin	S02 Nila	GM01 Meena
A. Sales							
Days worked	27	27	12	6	27	27	27
Sales per day	4,600	3,000	3,300	1,500	7,000	4,200	8,000
Own sales = days x sales per day	**124,200**	**81,000**	**39,600**	**9,000**	**189,000**	**113,400**	**216,000**
B. Which pay rule applies? (compare sales with the target)							
Target for the position	100,000	100,000	100,000	100,000	120,000	120,000	150,000
Sales minus target	24,200	−19,000	−60,400	−91,000	69,000	−6,600	66,000
Result	over target	under target	under target	under target	over target	under target	over target
C. Earnings							
Basic pay (only when over target)	25,000	–	–	–	30,000	–	35,000
30% of the amount over target	7,260	–	–	–	20,700	–	19,800
25% of all sales (when not over target)	–	20,250	9,900	2,250	–	28,350	–
Food = days x 150 (if enough days)	4,050	4,050	1,800	900	4,050	4,050	4,050
Allowance	–	–	–	–	3,000	–	–
Own gross pay	**36,310**	**24,300**	**11,700**	**3,150**	**57,750**	**32,400**	**58,850**
D. Deductions							
Handed in (92% of each day's sales)	114,264	74,520	36,432	8,280	173,880	104,328	198,720
Settle-up = sales minus handed in	9,936	6,480	3,168	720	15,120	9,072	17,280
Stock shortfall (missing pieces x price)	–	2,550	–	–	–	–	–
Personal minus (advance)	–	–	15,000	–	–	–	–
Security = 1% of sales	1,242	810	396	90	1,890	1,134	2,160
Total deductions	**11,178**	**9,840**	**18,564**	**810**	**17,010**	**10,206**	**19,440**
Own net pay = gross minus deductions	**25,132**	**14,460**	**−6,864**	**2,340**	**40,740**	**22,194**	**39,410**

Food is paid only if the person worked at least the minimum days for their position: 0 for distributors, 24 for supervisors and group managers. A distributor with 12 or 6 days still gets food because their minimum is 0. Exactly on target counts as under target.

All figures are Rs, from the trial run of one manager and seven people.

Page 4. How the totals below are added into the level above

Start at the bottom. A supervisor's team total is the supervisor's own figure plus the two distributors under them. The group manager's team total is their own figure plus the two supervisors' **team** totals, which already include the distributors. Nothing is counted twice, because each person's own figure is added exactly once.

Team of	Own	+ first below	+ second below	= Team total
SALES (what each team sold)				
S01 Kavin (supervisor)	189,000	D01: 124,200	D02: 81,000	394,200
S02 Nila (supervisor)	113,400	D03: 39,600	D04: 9,000	162,000
GM01 Meena (group manager)	**216,000**	**S01 team: 394,200**	**S02 team: 162,000**	**772,200**
GROSS PAY (what each team earned before deductions)				
S01 Kavin (supervisor)	57,750	D01: 36,310	D02: 24,300	118,360
S02 Nila (supervisor)	32,400	D03: 11,700	D04: 3,150	47,250
GM01 Meena (group manager)	**58,850**	**S01 team: 118,360**	**S02 team: 47,250**	**224,460**
NET PAY (what each team is paid after deductions)				
S01 Kavin (supervisor)	40,740	D01: 25,132	D02: 14,460	80,332
S02 Nila (supervisor)	22,194	D03: −6,864	D04: 2,340	17,670
GM01 Meena (group manager)	**39,410**	**S01 team: 80,332**	**S02 team: 17,670**	**137,412**

Worked in words, for the highlighted box. Kavin's own pay is **57,750**: basic 30,000, plus 30% of the 69,000 he sold over his 120,000 target (20,700), plus food for 27 days (4,050), plus a 3,000 allowance. His team pay is **118,360**: his own 57,750, plus Pavan's 36,310, plus Thevi's 24,300. His team sales of **394,200** are his own 189,000, plus Pavan's 124,200, plus Thevi's 81,000.

Reminder. These team totals explain how the numbers stack up. Today the system still pays each person from their own sales only. The one place a team total reaches the level above is the manager, who is charged the net pay of everyone below (the last row of the net pay block: **137,412**).

Page 5. The manager's month: how Arun reaches minus 43,012

The manager is not paid by the sales rule. Each week the sheet works out **business x profit % − rent − hub fee − security − personal draw**. At the end of the month the weeks are added together and the net pay of everyone in the chain is taken off.

Step 1. The four weekly sheets

Week starting	Business	Profit 20%	Rent	Hub fee	Security	Personal draw	Week balance
5 Oct	190,000	38,000	4,000	500	1,900	8,000	23,600
12 Oct	190,000	38,000	4,000	500	1,900	8,000	23,600
19 Oct	190,000	38,000	4,000	500	1,900	8,000	23,600
26 Oct	190,000	38,000	4,000	500	1,900	8,000	23,600
Month	**760,000**	**152,000**	**16,000**	**2,000**	**7,600**	**32,000**	**94,400**

Step 2. The month

Line	Working	Amount
Opening balance	nothing carried in: it is the first month	–
+ The four weeks	profit minus rent, hub fee, security and personal draw	94,400
− Pay of everyone in the chain	25,132 + 14,460 + −6,864 + 2,340 + 40,740 + 22,194 + 39,410	−137,412
− Company return	set to 0% in this trial	–
Closing balance	**94,400 − 137,412**	**−43,012**

Why the closing balance is negative. The month's profit after weekly costs is 94,400, but the pay of the seven people under Arun is 137,412, so the branch costs more than it earns this month. The balance is carried into November, where it opens at −43,012. The weekly sheets total 760,000 of business while the daily sheets of his people total 772,200: the system does not compare these two.

All figures are Rs, from the trial run of one manager and seven people.